

CHAPTER 3: INSURANCE AND INDEMNIFICATION

3.8. Directors and Officers Liability (D&O) Insurance

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1. [3:645] **Nature of Coverage:** Directors and officers liability (D&O) insurance generally covers loss on account of claims against directors and officers based upon defined “wrongful acts” committed in their corporate capacity, which may include intentional misconduct (unlike CGL policies, which are based on an accidental “occurrence”; see ¶ 3:293).

2. [3:646] **Typical Insuring Clause:** “The Company shall pay on behalf of the *Insured Persons* [officers and directors] all Loss, for which such Insured Person is *not indemnified by the Insured Organization* [corporation], and which such Insured Person becomes legally obligated to pay on account of any claim[s] made against him, individually or otherwise ... for a *Wrongful Act* ... [c]ommitted ... or attempted by such Insured Person[s] before or during the Policy Period; and ... [r]eported to the Company ... during the Policy Period ...” [See *Olson v. Federal Ins. Co.* (1990) 219 CA3d 252, 258, 268 CR 90, 92 (emphasis added; original emphasis omitted)]

3. [3:647] **Coverage Analysis for Employment-Related Claims:** The following are the primary issues in determining coverage for claims under D&O policies:

a. [3:648] **“Wrongful acts”:** The term “wrongful act” is usually defined in the policy to include actual or alleged errors or omissions, neglect or breach of duty, and *misleading statements*, including some forms of *intentional* conduct.

(1) [3:648.1] **Does not include breach of contract:** An insured’s failure to pay amounts due under a contract does not qualify as a “wrongful act.” Claims arising out of breach of contract thus are not covered because “there is no ‘wrongful act’ and no ‘loss’ since the insured is simply being required to pay an amount it agreed to pay.” [*August Entertainment, Inc. v. Philadelphia Indemnity Ins. Co.* (2007) 146 CA4th 565, 579, 52 CR3d 908, 918]

b. [3:649] **Acts within official capacity:** D&O policies typically limit coverage to “wrongful acts” by an officer or director “in the discharge of his duties to the Insured organization in his Insured Capacity, or any matter claimed against him *solely by reason of his serving* in such Insured Capacity.” [See *Olson v. Federal Ins. Co.*, *supra*, 219 CA3d at 258-259, 268 CR at 92]

• [3:650] Therefore, there is no coverage for acts *unrelated to* the officer’s or director’s duties to the corporation. [*Olson v. Federal Ins. Co.*, *supra*, 219 CA3d at 261, 268 CR at 94—no coverage for claims against director who was also part owner of corporation for acts undertaken as part owner]

c. [3:651] **Limitation—no coverage where no individual liability:** There can be no D&O coverage for acts for which the directors and officers cannot be held liable individually. For example, only the *corporate employer* is liable for age and sex discrimination under the ADEA and Title VII; corporate officers and directors have no personal liability. [See *Miller v. Maxwell’s Int’l, Inc.* (9th Cir. 1993) 991 F2d 583, 587 (applying Calif. law)]

d. [3:652] **Certain liabilities not insurable:** D&O policies typically indemnify for “loss” incurred by the directors or officers individually or indemnified by the insured organization. “Loss” is generally defined to *exclude* certain liabilities incurred by the directors and officers, including:

- punitive or exemplary damages;
- criminal or civil fines or penalties imposed by law; and
- treble damages and other amounts deemed uninsurable by law.

e. [3:653] **Often no coverage for corporation:** Historically, D&O policies covered *only the directors and officers* of a corporation *individually* for their wrongful acts; i.e., there was no entity coverage. This continues to be true for many D&O policies today, although some policies now include entity coverage (*see* ¶ 3:664).

- [3:654] Assuming no entity coverage, there is no coverage for claims against the corporation based upon action taken by its shareholders in establishing corporate policy. [See *Olympic Club v. Those Interested Underwriters at Lloyd's London* (9th Cir. 1993) 991 F2d 497, 500 (applying Calif. law)—no coverage for race and gender discrimination claims against private club based on its own policies, rather than on wrongful acts of its directors and officers individually]

- [3:655] Unless a D&O policy provides otherwise, it does *not* cover a corporation's respondeat superior liability for wrongful acts by its officers and employees in the course and scope of their employment. Nor is coverage established by the fact that the board of directors *ratified* such acts. [See *Olympic Club v. Those Interested Underwriters at Lloyd's London*, *supra*, 991 F2d at 502—policy covered corporation's imputed liability for wrongful acts of its officers and directors]

[3:656 - 3:663] *Reserved.*

(1) [3:664] **Compare—entity coverage:** Many D&O policies today provide “entity coverage” for certain claims made against the corporation directly, including respondeat superior liability for wrongful acts by the corporation's officers and directors. Entity coverage was developed to avoid disputes regarding allocation of defense and settlement costs where claims against insured officers and directors are joined with claims against the uninsured corporation (*see discussion at* ¶ 3:705 *ff.*). [See *Continental Cas. Co. v. Anne Arundel Comm. College* (4th Cir. 1989) 867 F2d 800, 801]

Cross-refer: Entity coverage is discussed further in Croskey, Heeseman, Ehrlich & Klee, *Cal. Prac. Guide: Insurance Litigation* (TRG), Ch. 7F.

f. [3:665] **Claims-made coverage:** D&O policies are generally written on a “claims-made” basis—i.e., they cover claims first made against the insured director or officer during the term of the policy. A claim is “made” when the insured officer or director receives it or learns of it (*see* ¶ 3:294). Some policies also require the insured to *report* the claim to the insurer within the policy period (so-called “claims made and reported” coverage).

A threshold issue in the employment context is whether the employee has taken action that constitutes a “claim.”

The filing and service of a civil action would qualify as a claim under virtually any claims-made policy. However, events preceding filing suit must also be evaluated as potential claims. In the employment context, this may include such events as:

— a disgruntled employee's *threat* of litigation;

— the filing of an EEOC or FEHA “charge”;

— the institution of an EEOC accusation.

(1) [3:666] **Where policy defines “claim”:** If the policy contains a definition of “claim,” that definition controls.

(a) [3:667] **Typical definition:** Many D&O policies contain a definition of claim that includes:

“*judicial or administrative proceedings or written demand against a director or officer for which such director or officer may be subjected to a binding adjudication of liability.*”

[3:668 - 3:669] *Reserved.*

(b) [3:670] **Coercive vs. conciliatory “administrative proceedings”:** Whether an administrative proceeding before a state or federal agency constitutes a “claim” under such a policy depends on whether the administrative agency has *coercive* power (i.e., the power to impose “binding adjudication of liability”) or merely powers of *conciliation*.

1) [3:671] **EEOC proceedings:** The Equal Employment Opportunity Commission (EEOC) has powers of conciliation only. The EEOC only investigates and seeks voluntary compliance. Thus, the filing of a charge with the EEOC does not constitute a “claim.” [See *Bensalem Township v. Western World Ins. Co.* (ED PA 1985) 609 F.Supp. 1343, 1347-1348 (applying Penn. law)—complaint filed with EEOC and EEOC's subsequent correspondence to Township advising it of discrimination charge did *not* constitute a claim because neither requested money or other relief nor advised that a lawsuit was to follow]

2) [3:672] **FEHA proceedings:** The California Department of Fair Employment and Housing (DFEH) has powers of both conciliation *and coercion*. Upon conclusion of its investigation of a charge of discrimination under the California Fair Employment and Housing Act (FEHA, [Gov.C. § 12900 et seq.](#)), the DFEH may seek conciliation; issue a “right to sue” letter to the employee, which is a prerequisite to the filing of a civil action by the employee; or bring a civil action in the name of the DFEH on behalf of the person claiming to be aggrieved ([Gov.C. § 12965\(a\), \(c\)](#) (amended Stats. 2021, Ch. 278; eff. 1/1/22)).

Cross-refer: The administrative enforcement scheme is discussed in greater detail at ¶¶ [7:1031 ff.](#), [7:1050 ff.](#)

- [3:672.1] Neither the employee's filing of a *discrimination charge*, nor the subsequent DFEH *investigation*, *conciliation* or issuance of a “*right to sue*” letter would appear to constitute a “claim” because they do not result in a binding adjudication of liability or an award of damages.
- [3:672.2] In contrast, the filing of a *civil action* by the DFEH (a “judicial proceeding”) would satisfy the definition of “claim” for purposes of determining insurance coverage. [See [Gov.C. § 12965\(a\)](#)]

[3:673 - 3:674] Reserved.

(2) [3:675] **Absent policy definition:** Where the policy does *not* define “claim,” the common law definition will control: i.e., a “claim” is a *demand for something as a right or as due*, as opposed to a mere inquiry requesting an explanation, or a mere expression of dissatisfaction. [*Abifadel v. Cigna Ins. Co.* (1992) 8 CA4th 145, 160, 9 CR2d 910, 920]

- [3:676] Letters by the Federal Home Loan Bank Board to Bank's officers and directors *ordering them to comply* with various operating restrictions and to perform duties owed to Bank constituted a “claim.” [*Mt. Hawley Ins. Co. v. Federal Sav. & Loan Ins. Corp.* (CD CA 1987) 695 F.Supp. 469, 479-480 (applying Calif. law)]
- [3:677] But letters from a state agency *warning* that Bank was guilty of specific statutory and regulatory violations and *threatening* formal regulatory enforcement proceedings and a subsequent cease and desist order did not constitute a “claim” against the directors. [*California Union Ins. Co. v. American Diversified Sav. Bank* (9th Cir. 1990) 914 F2d 1271, 1276-1277 (applying Calif. law)]
- [3:678] Similarly, the mere threat of legal action does not constitute a claim. [*Winkler v. National Union Fire Ins. Co. of Pittsburgh* (9th Cir. 1991) 930 F2d 1364, 1366 (applying Calif. law)]
- [3:679] On the other hand, a letter demanding monetary compensation for alleged employment discrimination and threatening suit was a “claim” even though the letter did not mention a specific dollar amount: “[T]he insistence on compensation by way of settlement in lieu of litigation constituted a demand for ‘civil damages or other relief’ within the ordinary meaning of those words.” [*Westrec Marina Mgmt., Inc. v. Arrowood Indem. Co.* (2008) 163 CA4th 1387, 1393, 78 CR3d 264, 269—delay in reporting claim excused insurer's duty to indemnify or defend suit]

[3:680 - 3:689] Reserved.

4. [3:690] **Relevant Exclusions:** A D&O policy may specifically exclude employment-related claims. In the absence of such an exclusion, several exclusions typically found in D&O policies may be relevant to such claims:

- a. [3:691] **“Insured vs. insured” exclusion:** D&O policies typically exclude coverage for actions brought by one insured director or officer against another (usually excepting shareholder derivative suits). For example:

— “In consideration of the premium charged, it is hereby agreed that the Insurer shall not be liable to make any payment for loss ... under this policy in connection with *any claim or claims made against the Insureds by an Insured* as defined in this policy, *including the Company ... except for* stockholders' derivative actions brought by a shareholder of the Company other than an Insured.” [See *Conklin Co., Inc. v. National Union Fire Ins. Co.* (DMN 1987) 1987 WL 108957, *1 (emphasis added)]

[3:691.1 - 3:691.4] Reserved.

(1) [3:691.5] **Purpose:** One purpose of the insured vs. insured exclusion is to prevent collusive suits by corporations trying to recoup corporate losses by attributing them to the wrongdoing of directors and officers who, if insured, have nothing to

lose by taking the blame. [See *Biltmore Assocs., LLC v. Twin City Fire Ins. Co.* (9th Cir. 2009) 572 F3d 663, 668 (applying Ariz. law)]

But the exclusion is not limited to collusive suits. Rather, it precludes coverage for *any* internal dispute between the corporation and its officers or directors, as well as for disputes between or among them personally. [*American Med. Int'l, Inc. v. National Union Fire Ins. Co. of Pittsburgh* (9th Cir. 2001) 244 F3d 715, 723 (applying Calif. law); *Level 3 Communications, Inc. v. Federal Ins. Co.* (7th Cir. 1999) 168 F3d 956, 958 (applying Neb. law)]

(2) [3:692] **Wrongful termination claims by former officer?** It is unclear whether the insured vs. insured exclusion bars coverage for wrongful termination and breach of contract claims by former corporate officers against the corporation. The dispositive issue appears to be whether the former officer is suing in the former officer's capacity as an “insured” (i.e., officer or director). [See *Foster v. Kentucky Housing Corp.* (ED KY 1994) 850 F.Supp. 558, 561 (applying Ky. law)—exclusion applicable; compare *Conklin Co., Inc. v. National Union Fire Ins. Co.* (D MN 1987) 1987 WL 108957 (applying Minn. law)—exclusion not applicable where plaintiff suing in capacity as former employee rather than as discharged officer]

(a) [3:692.1] **Policy provisions:** To address this issue, some policies now specifically provide that “this exclusion shall not apply to a wrongful termination of employment claim brought by a former employee *other than* a former employee who is or was a Director of the Company.” [See *Bernstein v. Genesis Ins. Co.* (ND IL 2000) 90 F.Supp.2d 932, 936 (emphasis added) (applying Ill. law); *Biltmore Assocs., LLC v. Twin City Fire Ins. Co.*, *supra*, 572 F3d at 668—“insured vs. insured exclusion” excepted claims by former officers and directors for wrongful termination, discrimination or sexual harassment]

[3:693] *Reserved.*

b. [3:694] **“Bodily injury” exclusion:** D&O policies typically contain an exclusion for bodily injury. (E.g., “This policy does not cover ... loss arising out of claims for bodily injury, sickness, disease, death or emotional distress.”)

Employment-related claims alleging physical or emotional injury would appear to be subject to this exclusion.

(1) [3:695] **Emotional distress also excluded:** Claims for emotional distress are not covered under liability insurance where the underlying acts are not covered: “Any damages flowing from noncovered losses that may lead to emotional distress cannot be used to expand coverage where none was intended or bargained for by the parties.” [*Waller v. Truck Ins. Exch., Inc.* (1995) 11 C4th 1, 16, 44 CR2d 370, 376]

c. [3:696] **“Intentional injury” exclusion:** D&O policies typically do not include an express “intentional injury” exclusion. Nonetheless, *Ins.C. § 533* bars indemnification for “loss resulting from the wilful act of the insured” (*see* ¶ 3:105 *ff.*).

This has been interpreted to bar coverage under CGL policies for claims of sexual harassment (*see* ¶ 3:447) and tortious termination of employment in violation of public policy (*Tameny* claims) (*see* ¶ 3:426). The same result would likely apply to coverage under D&O policies.

[3:697 - 3:704] *Reserved.*

5. Allocation of Defense and Settlement Costs

a. [3:705] **Joinder of claims:** Where claims covered under a D&O policy (e.g., claims against the officers or directors) are joined in litigation with other, uncovered claims (such as claims against the corporation itself), the insurer's obligations to reimburse settlement and defense costs must be allocated or apportioned among the claims and parties involved. [*Raychem Corp. v. Federal Ins. Co.* (ND CA 1994) 853 F.Supp. 1170, 1180 (applying Calif. law); *Safeway Stores, Inc. v. National Union Fire Ins. Co. of Pittsburgh, Penn.* (9th Cir. 1995) 64 F3d 1282, 1287 (applying Calif. law)]

(1) [3:706] **Compare—no allocation for respondeat superior liability:** The insurer is not entitled to an allocation of settlement and defense costs where the insured corporation is sued *solely* on the basis of *vicarious liability* for wrongful acts by its officers/directors. Assuming coverage, the corporation is entitled to full reimbursement of all settlement costs where its liability is purely derivative. [*Nordstrom, Inc. v. Chubb & Son, Inc.* (9th Cir. 1995) 54 F3d 1424, 1432 (applying Wash. law); *Safeway Stores, Inc. v. National Union Fire Ins. Co. of Pittsburgh, Penn.*, *supra*, 64 F3d at 1287]

b. [3:707] **Joinder of claims against noninsured parties:** Allocation may also be required where claims against insured

officers and directors are joined with claims against other (noninsured) agents and employees of the corporation. [*Harbor Ins. Co. v. Continental Bank Corp.* (7th Cir. 1990) 922 F2d 357, 368 (applying Ill. law)—Bank paid \$17.5 million in settlement of suit against certain directors (insureds) and other agents and employees (noninsured): D&O insurer obligated to reimburse Bank only for that portion of settlement attributable to the *directors'* wrongful acts]

c. [3:708] **Joinder of uninsured claims:** Where the corporation chooses to indemnify its officers and directors for noncovered liabilities, an allocation of liability must be made between the D&O insurer and the corporation.

(1) [3:709] **Allocation of defense costs:** Most courts hold that where a suit alleges both covered and noncovered claims against insured officers and directors, the D&O insurer is obligated to pay only those defense costs “generated in defense of covered claims.” [*Okada v. MGIC Indem. Corp.* (9th Cir. 1986) 823 F2d 276, 282 (applying Hawaii law)]

However, if the defense expenditure is “reasonably related” to the defense of a covered claim, it can be allocated solely to the covered claim, even if it also aids in the defense of noncovered claims. [*Safeway Stores, Inc. v. National Union Fire Ins. Co. of Pittsburgh, Penn.*, supra, 64 F3d at 1289 (applying Calif. law)—defense costs “reasonably related” to defense of insured directors and officers must be paid by D&O insurer even if payment benefits uninsured party (the corporation)]

(2) [3:710] **Allocation of settlement costs:** When a settlement resolves both covered and noncovered claims, the insurer may attempt to allocate the settlement amounts.

(a) [3:711] **Allocation denied unless “larger settlement” due to uninsured claim:** Several courts have allowed a corporation to obtain reimbursement of all settlement costs where its liability is *purely derivative* of the liability of its insured directors and officers. Allocation is appropriate only to the extent settlement and defense costs were *increased* due to corporate liability that is *not* “concurrent” with the liability of its directors and officers. [*Safeway Stores, Inc. v. National Union Fire Ins. Co. of Pittsburgh, Penn.*, supra, 64 F3d at 1287; *Nordstrom, Inc. v. Chubb & Son, Inc.* (9th Cir. 1995) 54 F3d 1424, 1432 (applying Wash. law)]

(b) [3:712] **Other cases allocate settlement costs based on “relative exposure”:** Some other decisions allow allocation of settlements according to each defendant's “relative exposure,” making it less likely that the D&O insurer will be responsible for the entire settlement. [*Slottow v. American Cas. Co. of Reading, Penn.* (9th Cir. 1993) 10 F3d 1355, 1359 (applying Calif. law)]

Comment: Subsequent Ninth Circuit decisions have interpreted *Slottow's* “relative exposure” analysis to apply only where the parties have *already agreed* to an allocation; i.e., *Slottow* did not address an insurer's right to allocate in the absence of such agreement. [See *Nordstrom, Inc. v. Chubb & Son, Inc.*, supra, 54 F3d at 1435]

(3) [3:713] **Burden of proof:** Several cases hold that while the insured must first demonstrate that a loss falls within the coverage of the policy, the burden then shifts to the *insurer* to demonstrate that the settlement amount was *increased* due to the liability of the corporation or an uninsured third party. [See *Safeway Stores, Inc. v. National Union Fire Ins. Co. of Pittsburgh, Penn.*, supra, 64 F3d at 1288-1289; and *Nordstrom, Inc. v. Chubb & Son, Inc.*, supra, 54 F3d at 1434]

⇨ [3:714] **PRACTICE POINTER:** While insurers will often contend that all or most of the settlement or defense costs in a case should be allocated to the uninsured corporation, counsel for insureds (whether representing individual directors or officers or the corporation) may be able to resist such allocation based on the fact that covered claims against the directors and officers are intertwined with and *inseparable* from noncovered claims.

Cross-refer: Directors and Officers liability insurance is discussed in greater detail in Croskey, Heeseman, Ehrlich & Klee, *Cal. Prac. Guide: Insurance Litigation* (TRG), Ch. 7F.

[3:715 - 3:724] *Reserved.*